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DECLARATIONS

INSURED:

Westminster Management, LLC and its interests, entities, divisions, or other interests including, but not limited to, joint ventures, partnerships, investments, limited liability companies, members and other interests of the Named Insured but solely as respects the interests of the Named Insured; and including automatically the interests of the parent, trust(s), affiliated, subsidiary, limited liability companies, members and associated companies or corporations, owner(s), entity(ies) or individual(s) in the Named Insured which either have existed, exist now, or may exist in the future, and any joint venture or partnership interests in which the Insured is a participant to the extent the Insured is required to insure such interests.

all hereafter referred to as the "Insured."

1. MAILING ADDRESS:

767 Fifth Avenue, Floor 50, New York NY 10153

2. PREMIUM:

This Policy is issued in consideration of an initial premium.

3. TERM OF INSURANCE:

In consideration of the premium stated herein, this Policy attaches and insures from 15th December 2023 to 15th December 2024, beginning and ending at 12:01A.M., standard time, at the location of the property involved.

The actual effective time of attachment of this insurance on the above date shall be the same time as the actual effective time of cancellation or expiration of policy(ies) replaced or renewed by this Policy.

4. TERRITORY:

Coverage under this Policy applies to all covered loss or damage that takes place in the United States of America, its territories and possessions, including the District of Columbia and the Commonwealth of Puerto Rico.

5. PARTICIPATION:

The Company's liability under this Policy will not exceed the appropriate percentage shown below of any limits of liability as provided in the Program Limits of Liability clause in this section, nor for more than the appropriate percentage of the recoverable loss in any one occurrence.

15%, or \$2,250,000, part of \$15,000,000, excess \$10,000,000

6. PROGRAM LIMITS OF LIABILITY:

The Company shall not be liable for more than its proportionate share of each layer shown in the Participation Clause, for any one Occurrence (the Company's participation) except the Company's liability shall not exceed its proportionate share of any of the specific sublimits of liability for any

one Occurrence designated in Clauses 6.(b), 6.(c) and 6.(d). These sublimits are part of and not in addition to the limit(s) of liability stated below.

Limits of liability stated below apply per occurrence for all Locations and coverages involved unless an annual aggregate limit of liability is specified.

When a limit of liability is shown as applying in the *aggregate for any one Policy year*, the Company's maximum limit of liability will not exceed such limit during any policy year regardless of the number of locations and coverages involved.

In the event an occurrence results in liability payable under more than one policy issued to the Named Insured by the Company, or its representative companies, the maximum amount payable in the aggregate under all such policies will be the applicable limit(s) of liability indicated in this Policy regardless of the number of coverages, locations or perils involved.

- A. The Program limit of liability is USD \$300,000,000
- B. Sublimits below are applicable to all direct physical loss, damage or destruction insured against.
 - (1) With respect to all losses caused by the peril of Flood, the Company shall not be liable, in the aggregate for any one Policy year, for more than its proportionate share of USD \$100,000,000;

But not to exceed USD \$50,000,000 in the aggregate for any one Policy year for the peril of Flood occurring in Special Flood Hazard Areas.

However, this Special Flood Hazard Area sublimit shall not apply to loss involving personal property, buildings, or structures wholly located outside an area designated as a Special Flood Hazard Area.

The aggregate limit stated in the paragraph above shall be part of the overall aggregate limit stated in the introduction to this paragraph.

Special Flood Hazard Areas (SFHA) means:

- (a) Areas, which at the time of direct physical loss, damage or destruction, have been designated on a Flood Insurance Rate Map (FIRM) published by the Federal Insurance Administration (FIA) to be Flood zones A, AO, AH, A1–A30, AE, A99, AR, AR/A, AR/AE, AR/A1–A30, AR/AH, AR/AO, V, V1-V30, and VE; or
- (b) For areas where the National Flood Insurance Program is not in effect: an area in a floodplain that has a 1% or greater chance of a Flood occurring equal to or exceeding the Base Flood Elevation (BFE) in any given year. For the purposes of this calculation, Federal Emergency Management Agency (FEMA) guidelines shall be used.

For purposes of determining which areas qualify as Special Flood Hazard Areas as specified in paragraph (a) above, only those Flood zone maps which were in effect at the time of policy inception shall apply.

- (2) With respect to all losses caused by the peril of Earthquake, the Company shall not be liable, in the aggregate for any one Policy year, for more than its proportionate share of USD \$100,000,000.
- (3) With respect to the peril of Named Windstorm occurring in Tier 1 Counties, as identified in Addendum C, the Company shall not be liable for more than its proportionate share of USD \$300,000,000;

Even if the peril of Named Windstorm is the predominant cause of direct physical loss, damage or destruction, any ensuing physical loss, damage or destruction shall not be subject to the sublimit specified in this paragraph (3). However, in the event covered loss or damage by Flood arises out of a Named Windstorm, the maximum amount the Company will pay per Occurrence for all such loss or damage by Flood shall be the sublimits of liability for Flood as shown in subparagraph 6.B.(1) above.

With respect to the sublimits described in (b)(1), (b)(2), and (b)(3) above, such sublimit(s) shall be the maximum amount collectible in any one Occurrence, irrespective of any other coverages and sublimits that may be applicable.

C. Sublimits below are applicable to any one Equipment Breakdown:

Direct physical loss, damage or destruction from any one Equipment Breakdown is EXCLUDED. However, any resulting physical damage or loss from any one Equipment Breakdown, unless otherwise excluded, is covered by this Policy.

D. Sublimits and time limits below are applicable to all direct physical loss, damage or destruction, not otherwise described in paragraphs (b) and (c) above. The Company shall be liable for its proportionate share of these limits.

- (1) Interruption by Civil or Military Authority: USD \$25,000,000 for up to 90 days Period of Recovery
- (2) Consequential/Sequential Damage: USD \$10,000,000
- (3) Contingent Business Interruption/Contingent Extra Expense: USD \$5,000,000
- (4) Debris Removal: USD \$25,000,000 or 25% of the loss, whichever is greater.
- (5) Decontamination and Pollution Clean-Up Expense: USD \$2,500,000 in the aggregate for any one Policy year, for Coverage B.

- (6) Land, and Water Contaminant Cleanup, Removal, and Disposal: USD \$2,500,000 in the aggregate for any one Policy year
- (7) Mold and Fungus Cleanup: USD \$2,500,000 in the aggregate for any one Policy year
- (8) Deferred Payments: USD \$1,000,000
- (9) Delay in Completion: USD \$1,000,000
- (10) Demolition and Increased Cost of Construction: INCLUDED
- (11) Downzoning: INCLUDED
- (12) Equipment Breakdown: Excluded except:
 - (a) EXCLUDED Hazardous Substance
 - (b) EXCLUDED Spoilage
- (13) Errors and Omissions: USD \$5,000,000
- (14) Expediting Expense: USD \$10,000,000
- (15) Extra Expense: USD \$10,000,000
- (16) Extended Period of Recovery: 365 days
- (17) Fine Arts: USD \$1,000,000
- (18) Hotel Guest Emergency Evacuation Due to Civil Authority: USD \$1,000,000 in the aggregate for any one Policy year
- (19) Hotel Guest Relocation Expenses: USD \$1,000,000 in the aggregate for any one Policy year; but not to exceed USD \$10,000 per hotel guest.
- (20) Ingress/Egress: USD \$25,000,000 for up to 90 days Period of Recovery
- (21) Land Improvements: USD \$2,500,000
- (22) Miscellaneous Personal Property: USD \$10,000,000
- (23) Miscellaneous Unscheduled Locations: USD \$25,000,000
- (24) Move Back Expenses: USD \$10,000,000

- (25) Newly Acquired Property: USD \$25,000,000 subject to a maximum of 120 days to report to the Company.
- (26) Service Interruption/Off Premises Power: USD \$10,000,000
- (27) Off Premises Storage for Property Under Construction: USD \$1,000,000
- (28) Ordinary Payroll: 90 days
- (29) Professional Fees: USD \$2,500,000
- (30) Property while in the course of construction: USD \$10,000,000
- (31) Transit: USD \$1,000,000
- (32) Outdoor Property: USD \$5,000,000; but not to exceed USD \$50,000 per item.
- (33) Valuable Papers and Records: USD \$25,000,000

E. Qualifying Period(s):

- (1) For the purposes of applying Service Interruption/Off Premises Power coverage, the Qualifying Period is 48 hours.
- (2) For the purposes of applying Delay in Completion of the Project coverage, the Qualifying Period is 60 days. This Qualifying Period applies separately at each insured location.

7. DEDUCTIBLES

A. All loss or damage arising out of any one Occurrence shall be adjusted as one loss and from the amount of such adjusted loss shall be deducted the sum of \$250,000; except,

- (1) With respect to all loss or damage arising from a peril other than Named Windstorm, Flood, or Earthquake, at a residential location, the deductible shall be USD \$250,000 per occurrence.
- (2) Flood:
 - (a) With respect to non-residential locations where the physical building or structure is wholly or partially within Special Flood Hazard Areas (SFHA), the deductible shall be \$500,000 per Building, \$500,000 Contents per Building, and \$100,000 Time Element any one occurrence.
 - (b) With respect to residential locations where the physical building or structure is wholly or partially within Special Flood Hazard Areas (SFHA), the deductible shall be \$250,000 per Building, \$250,000 Contents per Building, and \$100,000 Time Element per Occurrence.

This deductible will not apply to locations that Westminster Management, LLC has successfully petitioned to be rezoned out of a Special Flood Hazard Area;

- (c) With respect to any other Flood loss or damage to residential locations, the deductible shall be USD \$250,000 per occurrence.
- (d) With respect to any other Flood loss or damage, the deductible shall be USD \$250,000 per occurrence.

The above deductible(s) shall not apply to ensuing physical loss, damage or destruction arising from a peril not otherwise excluded herein.

(3) Earthquake:

- (a) 5.0% of the total insurable values, to be calculated separately for each Unit of Insurance, at the time of the loss at each location involved in the loss or damage with respect to locations residing in the State of California, subject to minimum(s) of:
 - i. USD \$250,000 per Occurrence for residential locations,
 - ii. USD \$250,000 per Occurrence for all other locations;
- (b) 2.0% of the total insurable values, to be calculated separately for each Unit of Insurance, at the time of the loss at each Location involved in the loss or damage with respect to locations in the New Madrid Seismic Zone, subject to minimum(s) of:
 - i. USD \$250,000 per Occurrence for residential locations,
 - ii. USD \$250,000 per Occurrence for all other locations;
- (c) 2.0% of the total insurable values, to be calculated separately for each Unit of Insurance, at each Location involved in the loss or damage with respect to locations in the Pacific Northwest Seismic Zone, subject to minimum(s) of:
 - i. USD \$250,000 per Occurrence for residential locations,
 - ii. USD \$250,000 per Occurrence for all other locations;
- (d) With respect to any other Earthquake loss or damage to residential locations, the deductible shall be USD \$250,000 per occurrence.
- (e) With respect to any other Earthquake loss or damage, the deductible shall be USD \$250,000 per occurrence.

The above deductible(s) shall not apply to ensuing physical loss, damage or destruction arising from a peril not otherwise excluded herein.

(4) Named Windstorm:

- (a) 3.0% of the total insurable values, to be calculated separately for each Unit of Insurance, at the time of the loss at each Location involved in the loss or damage with respect to locations in Tier 1 Counties outside of the state of Florida, subject to minimum(s) of:
 - i. USD \$250,000 per Occurrence for residential locations,
 - ii. USD \$250,000 per Occurrence for all other locations;
- (b) 5.0% of the total insurable values, to be calculated separately for each Unit of Insurance, at the time of the loss at each Location involved in the loss or damage with respect to locations in the State of Florida, subject to minimum(s) of:
 - i. USD \$250,000 per Occurrence for residential locations,
 - ii. USD \$250,000 per Occurrence for all other locations;
- (c) With respect to any other Named Windstorm loss or damage to residential locations, the deductible shall be USD \$250,000 per occurrence.
- (d) With respect to any other Named Windstorm loss or damage, the deductible shall be USD \$250,000 per occurrence.

The above deductible(s) shall not apply to ensuing physical loss, damage or destruction arising from a peril not otherwise excluded herein.

B. Deductible Application:

- (1) In the event of loss or damage involving more than one deductible, the Insured can either elect to have the deductibles apply separately or have the single largest deductible apply.
- (2) In any Occurrence where loss or damage is caused by more than one cause of loss or damage (peril) insured against under this policy or loss or damage occurs at more than one location or building, the Insured shall have the right to separate the loss amount by peril or location or building for the purposes of application of the deductible(s) specified in this section, notwithstanding the above reference to two or more deductibles and the policy limits.
- (3) National Flood Insurance Program (NFIP) Coordination: In the event that the Insured maintains underlying insurance through the National Flood Insurance Program, it is agreed that this policy excludes the peril of Flood to the extent of recovery under such National Flood Insurance Policy(ies). Should the amount of loss payable under such National Flood Insurance Policy(ies)

exceed the applicable Flood deductible under this policy, then no deductible shall apply hereunder. However, if the amount to be paid under such National Flood Insurance Policy(ies) is less than the applicable Flood deductible under this policy, then the amount to be deducted hereunder shall not exceed the difference between the amount to be paid under the Insured's National Flood Insurance Policy(ies) and the applicable Flood deductible under this policy. Insurance maintained through the National Flood Insurance Program shall be considered Underlying Insurance.

If a location is determined to NOT be in a Special Flood Hazard Area at the time of binding in such that it influenced the insured not to seek additional coverage from NFIP, but then a change in elevation was discovered if or when a loss occurs and it is determined that the building is in a Flood Zone where NFIP coverage would otherwise apply, it is agreed and understood that the Insured will not be penalized through the application of the deductible as long as the Insured was not aware of this change in elevation prior to binding the location.

- (4) Unit of Insurance: The following shall be considered a separate unit of insurance:
- (a) each separate building or structure;
 - (b) the contents of each separate building or structure;
 - (c) property in each yard;
 - (d) business interruption for the twelve-month period immediately following the loss.

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POLICY PROVISIONS

1. LOSS OR DAMAGE INSURED

This policy insures against all risk of direct physical loss or damage to property including General Average, salvage, and all other charges on shipments insured hereunder except as hereinafter excluded.

2. LOSS OR DAMAGE EXCLUDED

This policy does not insure the following:

A.

- (1) Loss or damage caused by hostile or warlike action in time of peace or war, including action in hindering, combating, or defending against an actual, impending, or expected attack:
 - i. by any government or sovereign power (de jure or de facto) or by an authority maintaining or using military, naval, or air forces;
 - ii. or by military, naval, or air forces;
 - iii. or by an agent of such government, power, authority, or forces;
- (2) Loss or damage caused by any weapon employing atomic fission or fusion;
- (3) Loss or damage caused by rebellion, revolution, civil war, usurped power; or action taken by governmental authority in hindering, combating, or defending against such Occurrence;
- (4) Loss or damage caused by seizure or destruction by order of public authority, except destruction by order of public authority to prevent spread of, or to otherwise contain, control or minimize loss, damage, or destruction which occurs due to loss or damage insured under this policy;
- (5) Risks of contraband or illegal trade.

Notwithstanding the above provisions 2.A. (1), (3), (4), and (5), this insurance shall insure loss or damage caused by acts of an agent of any government, party, or faction engaged in war, hostilities, or warlike operations, provided such agent or faction or government is acting secretly and not in connection with any overt operation of armed forces (whether military, naval, or air forces) in the country where the property is situated. Nothing in the foregoing shall be construed to include any loss or damage caused by or resulting from any loss or damage referenced in B.2.(A.) (1)-(5). above, excepting only the acts of certain agents expressly insured herein, but in no event shall this insurance include any loss or damage caused by or resulting from any weapon of war employing atomic fission or fusion whether in time of peace or war.

B. Loss or damage caused by nuclear reaction or nuclear radiation or radioactive contamination, all whether controlled or uncontrolled, and whether such loss be direct or indirect, proximate or remote, or be in whole or in part caused by, attributed to, or aggravated by loss or damage insured herein except:

(1) The Insurer shall be liable for loss or damage caused by sudden or accidental radioactive contamination, including resultant radiation damage for each Occurrence from material used or stored or from processes conducted on insured premises, provided at the time of loss there is neither a nuclear reactor capable of sustaining nuclear fission in a self-supporting chain reaction nor any new or used nuclear fuel on the insured premises

(2) If an insured loss ensues, liability is specifically assumed by the Insurer for such ensuing direct loss or damage insured hereunder but not including any loss due to nuclear reaction, nuclear radiation or radioactive contamination.

C. Loss or damage caused by Fraudulent or Dishonest Act or Acts committed by the Insured or any of the Insured's employees.

This exclusion does not apply to loss or damage resulting from the Insured voluntarily parting with title or possession of any property if induced to do so by any fraudulent scheme, trick, device or false pretense, nor shall this exclusion apply to willful acts of destruction committed by the Insured's employee.

D. Inherent vice, ordinary wear and tear, or gradual deterioration, unless loss or damage not excluded in this policy ensues, and then this policy shall insure only the ensuing loss or damage.

E. The cost of making good defective design, faulty material, or faulty workmanship, except, if loss or damage not excluded in this policy ensues, then this policy shall insure such ensuing loss or damage.

F. Corrosion, rust, mold, wet or dry rot and loss or damage caused by or resulting from insects, vermin, normal settling, cracking, shrinkage, bulging or expansion of pavements, foundations, walls, floors, roofs or ceilings, unless caused by a peril not otherwise excluded or unless physical loss or damage not otherwise excluded ensues and then this policy shall cover for such ensuing loss or damage.

G. Dampness or dryness of atmosphere, or extremes or changes of temperature or humidity unless caused by a peril not otherwise excluded or unless physical loss or damage not otherwise excluded ensues and then this policy shall cover for such ensuing loss or damage.

H. Against delay or loss of market; loss of bonuses or penalties for noncompletion of (including delay in completion of) any contract conditions (or noncompliance with any

contract conditions); fines, penalties or punitive damages, or any costs incurred to eliminate or reduce any of the foregoing.

3. COVERAGE

This Policy insures the interests of the Insured in the following:

A. Real and Personal Property:

All real and personal property while such property is located anywhere within the territorial limits of this policy, including while in due course of Transit which is owned, used, or intended for use by the Insured, or acquired by the Insured, and property of others in the Insured's care, custody or control including the Insured's liability for such property and including the costs to defend any allegations of liability for loss or damage to such property; including but not limited to the following:

- (1) Improvements and betterments. The Insurer agrees to accept and consider the Insured as sole and unconditional owner of the improvements and betterments, notwithstanding any contract or lease to the contrary.
- (2) At the option of the Insured, personal property of the Insured's officials, employees, hotel guests or tenants while in the Insured's care, custody or control, or while on the Insured's premises.
- (3) Contractor's and/or subcontractor's (of any tier) and vendor's interests in property insured to the extent of the Insured's liability imposed by law or assumed by contract, whether written or oral.
- (4) At the option of the Insured, the interest of the Insured's customers in property sold by the Insured under conditional sale, trust agreement, installment plan or other deferred payment plan including property which is leased to customers under a lease/purchase agreement.
- (5) Property of others that the Insured has agreed to insure prior to loss or damage including property not in the Insured's care, custody or control and at the Insured's option the interest of the owner of such property.
- (6) Property while in the course of construction and/or during erection, assembly and/or installation

B. Time Element - Gross Earnings

- (1) Loss due to the necessary interruption of business conducted by the Insured, including all interdependencies between or among companies owned or operated by the Insured resulting from loss or damage insured herein and occurring during the term of this policy to real and/or personal property described in Clause 3.A.

- (2) Such loss shall be adjusted on the basis of the actual loss sustained by the Insured, consisting of the net profit which is prevented from being earned including payroll, and including Ordinary Payroll up to 90 consecutive days.

And

all charges and other expenses (including Soft Costs) to the extent that these must necessarily continue during the interruption of business, but only to the extent to which such charges and expenses would have been incurred had no loss occurred.

- (3) In determining the amount of net profit, charges, and expenses insured hereunder for the purposes of ascertaining the amount of the actual loss sustained, due consideration shall be given to the experience of the business before the date of the loss or damage and to the probable experience thereafter had no loss occurred.
- (4) In the event of insured loss or damage to property as described in Clause 3.A. which results in an interruption of research and development activities, which in themselves would not have produced income during the recovery period, this policy shall insure the actual loss sustained of the continuing charges and expenses directly attributable to such research and development activities, and including Ordinary Payroll.
- (5) As respects coverage provided under Clause 3.B., the Insurer shall not be liable for any loss resulting from loss or damage to Finished Stock or stock in process, nor for the time required to reproduce said Finished Stock or stock in process.

C. Time Element – Loss of Profits

Coverage under this clause applies only where there is a Loss of Profits policy in force insuring the location where the loss is incurred.

- (1) Loss of gross profit as hereinafter defined, resulting from interruption of or interference with the business, and caused by loss or damage to real or personal property as described in Clause 3.A. of this policy during the term of the policy.
- (2) Indemnity: The amount of loss of gross profit shall be based on REDUCTION IN TURNOVER and on INCREASE IN COST OF WORKING, and the amount payable as indemnity thereunder shall be:
 - (a) In respect to REDUCTION IN TURNOVER: The sum produced by applying the rate of gross profit to the amount by which the turnover during the indemnity period shall, in consequence of the damage, fall short of the standard turnover;

- (b) In respect to INCREASE IN COST OF WORKING: The additional expenditure necessarily and reasonably incurred for the sole purpose of avoiding or diminishing the reduction in turnover which but for that expenditure would have taken place during the indemnity period in consequence of the damage, but not exceeding the sum produced by applying the rate of gross profit to the amount of the reduction thereby avoided;
- (c) In respect to auditors fees, the reasonable charges payable by the Insured to their auditors for producing and certifying any particulars or details in the Insured's books of account or other books or documents or such other profits, information or evidence as may be required by the Insurer;
- (d) less any sum saved during the indemnity period in respect of such of the standing charges of the business payable out of gross profit as may cease or be reduced in consequence of the damage.

(3) Definitions:

- (a) Gross Profit: The sum produced by adding to the net profit the amount of all the standing charges of the business, including soft costs or if there be no net profit the amount of said standing charges less the amount of any net trading loss. Standing charges shall include, but not be limited to, wages and depreciation on property.
- (b) Net Profit: The net trading profit (exclusive of all capital receipts and accretions and all outlay properly chargeable to capital) resulting from the business of the Insured after due provision has been made for all standing and other charges including depreciation but before the deduction of any taxation chargeable on profits.
- (c) Wages: The remuneration (including where applicable: bonuses, overtime, living allowance (if any), national insurance contribution, holiday pay or other payments pertaining to wages) of all employees other than those whose remuneration is treated as salaries in the Insured's books of account.
- (d) Turnover: The money (less discounts allowed) paid or payable to the Insured for goods sold and delivered and for services rendered in course of the business.
- (e) Indemnity Period: The period beginning with the Occurrence of the damage and ending not later than the period of indemnity stipulated under the primary insurance, or 24 months, whichever is greater, during which period of time the results of the business shall be affected in consequence of the damage.

- (f) Rate of Gross Profit: The rate of gross profit earned on the turnover during the financial year immediately before the date of the damage.
- (g) Annual Turnover: The turnover during that period in the 12 months immediately before the date of the damage.
- (h) Standard Turnover: The turnover during that period in the 12 months immediately before the date of the damage which corresponds with the indemnity period.

With respect to subparagraphs f-Rate of Gross Profit, g- Annual Turnover and h- Standard Turnover as described above, such adjustments shall be made as may be necessary to provide for the trend of the business and for variations in or special circumstances affecting the business either before or after the damage or which would have affected the business had the damage not occurred, so that the figures thus adjusted shall represent as nearly as any be reasonably practicable the results which but for the damage would have been obtained during the relative period after the damage.

- (i) Qualifying Period: The continuous period of time expressed in hours or days which must be exceeded before coverage under this Policy begins.

(4) Memoranda:

MEMO 1: If during the indemnity period goods shall be sold or services shall be rendered elsewhere than at the premises for the benefit of the business either by the Insured or by others on their behalf, the money paid or payable in respect of such sales or services shall be brought into account in arriving at the turnover during the indemnity period.

MEMO 2: In adjusting any loss, account shall be taken and an equitable allowance made if any shortage in turnover due to the damage is postponed by reason of the turnover being temporarily maintained from accumulated stocks of finished goods in warehouses and/or depots.

MEMO 3: In the event of a loss or damage to property described in Clause 9. A. insured by this policy, which results in an interruption of research and development activities which in themselves would not have produced gross profit during the indemnity period, this policy shall insure the actual loss sustained of the continuing standing charges, including wages directly attributable to such research and development activities.

D. Extra Expense:

- (1) Extra Expense incurred by the Insured during the term of this policy in order to continue as nearly as practicable the normal operation of the Insured's business

following loss or damage insured herein and occurring to real and/or personal property as described in Clause 3.A.

- (2) The term Extra Expense, as used herein, is defined as the excess (if any) of the total cost chargeable to the operation of the Insured's business, over and above the total cost that would normally have been incurred to conduct the business had no loss or damage occurred, including Soft Costs.

E. Accounts Receivable:

In the event of loss or damage to records or accounts receivable from customers caused by loss or damage insured herein, this Insurer will indemnify the Insured as follows:

- (1) All sums due the Insured (from customers), provided the Insured is unable to effect collection thereof as a result of loss or damage to records of accounts receivable by loss or damage insured by this policy.
- (2) All sums due the Insured from factoring transactions, when the property of the debtor has been lost or damaged by loss or damage insured by this policy and the Insured has been unable to effect collection thereof.
- (3) Interest charges on any loan to offset impaired collections pending repayment of such sums made uncollectible by such loss or damage.
- (4) Collection expenses in excess of normal collection cost and made necessary because of such loss or damage.
- (5) Other expenses, when reasonably incurred by the Insured in reestablishing records of accounts receivable following such loss or damage.

For purpose of this insurance, charges under a credit card company and maintained on EDP Media shall be deemed to represent sums due the Insured from customers.

When there is proof that a loss of records of accounts receivable has occurred by the Insured and the Insured cannot more accurately establish the total amount of accounts receivable outstanding as of the date of such loss, such amount shall be computed as follows:

- (1) The monthly average of accounts receivable during the last available twelve (12) months shall be adjusted in accordance with the percentage increased or decreased in the twelve (12) months average of monthly gross revenues which may have occurred in the interim;
- (2) The monthly amount of accounts receivable thus established shall be further adjusted in accordance with any demonstrable variance from the average for the particular month in which the loss occurred, due consideration also being given to the normal fluctuations in the amount of accounts receivable within the fiscal month involved.

There shall be deducted from the total amount of accounts receivable, however established, the amount of such accounts evidenced by records, not lost or damaged, or otherwise established or collected by the Insured and an amount to allow for probable bad debts which would normally have been uncollectible by the Insured.

F. Leasehold Interest

This policy provides coverage for leasehold interest when property is rendered wholly or partially untenable by any insured loss during the term of this policy and a lease is canceled by a party not insured by this policy in accordance with the conditions of the lease or by statutory requirements of the appropriate jurisdiction in which the damaged property is located.

(1) Coverage under this clause includes the:

(a) Pro-rata portion from the date of loss to the expiration date of the lease (to be paid without discount) on the Insured's interest in:

- i. The amount of bonus paid by the Insured for the acquisition of the lease not recoverable under the terms of the lease;
- ii. Improvements and betterments to real property which are not insured under any other section of this policy;
- iii. The amount of advance rental paid by the Insured and not recoverable under the terms of the lease;

(2) This Insurer shall indemnify the Insured for its Lease Interest for the first three months following the loss or damage and for its Net Lease Interest for the remaining unexpired term of the lease, provided that the Insurer shall not be liable for any increase in the amount recoverable hereunder resulting from the suspension, lapse or cancellation of any license, or from the Insured exercising an option to cancel the lease; or from any act or omission of the Insured which constitutes a default under the lease; and provided further that the Insured shall use any suitable property or service owned or controlled by the Insured or obtainable from another source to reduce the loss hereunder.

G. Rental Value and Rental Income

(1) Loss of Rental Income and/or Loss of Rental Value of the Insured caused by loss or damage insured herein occurring during the term of this policy to property and/or premises rented, leased or occupied by the Insured and/or rented or leased by the Insured to others.

(2) Rental Income shall include the following:

- (a) The total anticipated gross rental income from tenant(s) of the Insured's building(s) and structure(s), and

- (b) The amount of all charges assumed by tenant(s) except those charges which do not continue, which would otherwise be obligations of the Insured, and
- (c) The fair rental reasonably expected from unrented portions of such property and the fair rental for that portion occupied by the Insured.

(3) Rental Value shall include the following:

Rental Income Insurance in those situations where the Insured is required under a lease or rental agreement to maintain such insurance on behalf of any landlord.

Rental expenses incurred by the Insured in excess of the expenses which would have been incurred had a leased or rented premises not been damaged or destroyed by loss or damage insured herein. Such coverage will apply for all additional expenses incurred during the period of untenability or if the lease cannot be terminated until its expiration.

H. Royalties:

- (1) Loss of Royalties, Fees and Commissions which would have been earned under Royalties, Fees or Commission Agreements between the Insured and any concern(s), as a result of loss or damage to the property of such concern(s) caused by loss or damage insured herein occurring during the term of this policy.
- (2) Such loss shall be adjusted on the basis of actual loss sustained of such income referred to in paragraph 3.H.1., which would have been earned had no loss occurred.

I. Transit:

This insurance is extended to insure loss or damage to insured property in transit including resulting loss as afforded under clauses 3.B., 3.C., 3.D., 3.G. and 3.H.

- (1) This insurance is also extended to insure loss or damage to property:
 - (a) Sold and shipped by the Insured under terms of F.O.B. point of origin or other terms usually regarded as terminating the shipper's responsibility short of points of delivery;
 - (b) At the Insured's option, which is incoming to the Insured.
- (2) This policy also insures loss or damage:
 - (a) Arising out of any unauthorized person(s) representing themselves to be the proper party(ies) to receive goods for shipment or to accept goods for delivery;

- (b) Occasioned by the acceptance by the Insured, by its agents, or by its customers of fraudulent bills of lading, shipping and delivery orders, or similar documents;

J. Defense Costs

This policy covers costs and fees to defend any claim or suit against the Insured and/or its directors, officers and/or employees alleging physical loss or damage as insured against to property of others in the care, custody or control of the Insured to the extent of the Insured's liability therefore, even if such suit is groundless, false or fraudulent; but the Underwriters may without prejudice make such investigation, negotiation or settlement of any such claim or suit as it deems expedient.

K. Delay in Completion of Project

- (1) Actual loss sustained by the Insured to the extent not insured elsewhere under the Policy and caused by direct physical loss, damage or destruction insured herein occurring during the term of this Policy to property while in the course of construction, erection, installation or assembly which results in a Delay in Completion of the Project.
- (2) Delay in Completion of the Project means the period of time between the Anticipated Date of Completion per the construction agreement and the date on which property while in the course of construction, erection, installation, and assembly is actually completed and accepted with the exercise of due diligence and dispatch. If such loss occurs during this period of time, it shall be adjusted on the basis of the Actual Loss Sustained by the Insured and consisting of the Time Element loss provided for under this Policy. The Anticipated Date of Completion shall be modified to the extent there are delays not caused by insured physical, loss, damage or destruction.

In determining the amount of business interruption and/or rental value loss payable hereunder during the period of time described above, such loss shall be applied to the experience of the business after the business has reached its planned level of production or level of business operations.

- (3) Anticipated Date of Completion means the date at the time of the direct physical loss, damage or destruction on which property while in the course of construction, erection, installation, and assembly was scheduled to have been completed and accepted per the construction agreement had no insured physical, loss, damage or destruction occurred.

4. EXTENSIONS OF COVERAGE:

THIS CLAUSE EXTENDS THE COVERAGES DESCRIBED IN CLAUSES 3.B, 3.C, 3.D, 3.E., 3.F., 3.G., 3.H , 3.K.and 3.1.

A. This policy insures loss resulting from or caused by loss or damage insured herein to the following:

- (1) Contingent Business Interruption/Contingent Extra Expense: Property, including Attraction Properties, that directly or indirectly prevents a supplier (including suppliers of any tier) of goods and/or services to the Insured from rendering their goods and/or services, or property that prevents customers (including customers of any tier) of goods and/or services from the Insured from accepting the Insured's goods and/or services.

There is no liability for any loss or damage in this section insured under Clause 4.A.2.

- (2) Service Interruption/Off Premises Power: Any service provider's property including, but not limited to, electrical equipment and systems, water, gas, steam, telephone or their respective transmission and distribution lines or utility plants which directly or indirectly provide incoming or outgoing services to the Insured situated on or outside of the Insured's premises.

This coverage is extended to include loss or damage resulting from any Accidental Occurrence to property referenced in this clause.

There is no liability for any loss or damage insured under Clause 4.A.1. in this section.

- (3) Impounded Water: Dams, reservoirs or equipment connected therewith when water used as a raw material or used for power or for other manufacturing purpose stored behind such dams or reservoirs is released from storage and causes an interruption of business as a result of lack of adequate water supply from such sources.

- (4) Protection and Preservation of Property: This Policy covers, up to the limit applying to this Coverage:

The reasonable and necessary costs incurred for actions to temporarily protect or preserve Covered Property; provided such actions are necessary due to actual or imminent physical loss or damage due to an Insureds to such Covered Property; and

The Gross Earnings loss sustained by the Insured for a period of time not to exceed the hours listed in the Declarations prior to and after the Insured first

taking reasonable action for the temporary protection and preservation of Covered Property.

This Coverage is subject to the deductible provisions that would have applied had the physical loss or damage occurred.

B. Interruption by Civil or Military Authority:

This policy is extended to insure loss sustained during the period of time when, as a result of loss, damage or an event not excluded in Clause 1., access to property is impaired by order or action of civil or military authority.

C. Ingress/Egress:

This policy is extended to insure loss sustained during the period of time when, as a result of loss, damage or an event not excluded in Clause 9., ingress to or egress from real or personal property is impaired.

D. Hotel Guest Emergency Evacuation Due to Order by Civil Authority

(1) We will reimburse you for the necessary expenses you incur to evacuate a covered location because of imminent danger to life or well-being of your guests caused by an external event or condition at the covered location when a civil authority having jurisdictional authority orders you to evacuate the covered location.

(2) We will not reimburse you for the necessary expenses arising out of any planned evacuation drill.

E. Hotel Guest Relocation Expenses

(1) We will pay you the actual expenses you incur as a result of reimbursing the expenses of a hotel guest for whom prearranged hotel accommodations cannot be honored because of loss or damage resulting from a covered loss.

(2) We will pay you for the reasonable expenses your hotel guest has incurred:

(a) To secure and use other comparable hotel accommodations as close as possible to our covered location;

(b) While traveling to and from your covered location to the location where the comparable hotel accommodations are secured; and

(c) For prepaid amounts spent for activities away from the covered location which are lost because other comparable accommodations within a reasonable distance from your covered location are unavailable.

(3) We will pay you for the reimbursed expenses of the hotel guest for the time:

(a) Beginning on the date the hotel guests prearranged accommodations at the covered location are:

- i. Scheduled to begin; or
- ii. Interrupted

Whichever is later; and

(b) Ending on the earliest of the following dates:

- i. The date the hotel guests prearranged hotel accommodations at the covered location are scheduled to end;
- ii. The date the damaged property at the covered location should be repaired, rebuilt or replaced with reasonable speed or similar quality;'

Or

- iii. Fourteen (14) days after the date determined in A. above.

(4) The most we will pay to you for the reimbursed expenses of your hotel guest in excess of the deductible is:

(a) \$10,000 per hotel guest in any one occurrence; and

(b) \$1,000,000 in any one (1) occurrence and in the annual aggregate for all your hotel guests.

(5) For the purpose of this endorsement hotel guest(s) means a person of persons holding valid confirmed reservations or prearranged hotel accommodations at a location shown on the schedule.

5. LOSS PROVISIONS

THIS CLAUSE EXTENDS THE COVERAGES DESCRIBED IN CLAUSES 3.B, 3.C, 3.D, 3.G., 3.H. , 3.I. 3.K. and 4.

A. Period of Recovery:

The length of time for which loss may be claimed is referred to as the period of recovery and:

- (1) Shall commence with the date of such loss or damage and shall not be limited by the date of expiration of this policy;

- (2) Shall not exceed such length of time as would be required with the exercise of due diligence and dispatch to rebuild, repair, or replace the property that has been destroyed or damaged;

and

- (3) Such additional length of time to restore the Insured's business to the condition that would have existed had no loss occurred, commencing with the later of the following dates:
 - (a) The date on which the liability of the Insurer for loss or damage would otherwise terminate; or
 - (b) The date on which repair, replacement or rebuilding of the property that has been damaged is actually completed and the Insured has resumed normal operations.

But in no event for more than the time period stated in the Declaration for Extended Period of Recovery;

- (4) with respect to alterations, additions, or property while in the course of construction, erection, installation, or assembly, due consideration shall be given to the level of production or level of business operations that would reasonably have been achieved after construction and start up would have been completed had no loss or damage occurred.

B. If the Insured can reduce the loss resulting from the interruption of business:

- (1) by a complete or partial resumption of operations of the property insured, whether damaged or not; or
- (2) by making use of stock, merchandise, or other property insured herein; Such reduction shall be taken into account in arriving at the amount of loss hereunder.

C. Expense to Reduce Loss: (not applicable to 2.C.)

- (1) This policy also insures such expenses as are necessarily incurred for the purpose of reducing any loss under this policy, even though such expenses may exceed the amount by which the loss under this policy is thereby reduced

D. Experience of the Business:

- (1) In determining the amount of loss insured hereunder due consideration shall be given to the experience of the business before the date of loss or damage and to the probable experience thereafter had no loss or damage occurred.

E. This policy will allow the insured the option to make claim based on either the:

(1) Time Element Gross Earnings as stated under Clause 3.B.

(2) Time Element Gross Profit as stated under Clause 3.C.

6. PROPERT EXCLUDED

This policy does not insure loss or damage to:

- A. Watercraft over forty (40) feet only while waterborne, aircraft and motor vehicles licensed for highway use when not on the Insured's premises, except this exclusion shall not apply to contractor's equipment, nor to such property which constitutes stock or which is on exhibit or being repaired.
- B. Land, except as insured under Clause 11. Decontamination and Clean Up Expense and Clause 12. Land, and Water Contaminant Cleanup, Removal, and Disposal. This exclusion shall not apply to the cost of reclaiming, restoring or repairing Land Improvements.;
- C. Currency, money, bills, notes, gold bullion, evidence of debt, except accounts receivable as defined in the policy, notes or securities except as otherwise defined in this policy.
- D. Growing crops, standing timber to be used for industrial processes, and live animals not used for research.
- E. Water, except as insured under Clause 3.A.3. Impounded Water, Clause 11. Decontamination and Pollution Clean-Up Expense, Clause 12. Land, and Water Contaminant Cleanup, Removal, and Disposal, and Clause 13. Mold and Fungus Cleanup, or when contained in any form of piping system, processing system or holding tank or used in the manufacturing process.
- F. Export and import shipments after loading on board the oceangoing watercraft and during ocean Transit, but coverage will attach after unloading at the destination port.
- G. Waterborne shipments via the Panama Canal.
- H. Waterborne shipments to and from Alaska, to and from Hawaii, and to and from Puerto Rico, Guam and the Virgin Islands.
- I. Underground Mining

7. VALUATION:

At time of loss, the basis of adjustment shall be as follows:

- A. On buildings and structures, at the Replacement Cost New; if not replaced, then at the actual cash value.
- B. On machinery, equipment, furniture, fixtures and improvements and betterments at the Replacement Cost New; if not replaced, then at the actual cash value.
- C. Valuable Papers and Records and EDP Media at the value blank plus the cost of labor, service and/or supplies for actually reconstructing, researching, gathering information, reproducing, recreating, transcribing or copying such papers, records and EDP Media.
- D. Fine Arts owned by the Insured at the cost of reasonably restoring the property to its condition immediately prior to the loss, or in the event that the property cannot be restored at the appraised value prior to the loss. In absence of such appraisal, at the market value at the time of loss, plus the Insured's costs.

Fine Arts, which is the property of others, at the Insured's option, either at the cost of reasonably restoring the property to its condition immediately prior to loss, or the Insured's contractual or legal liability.

- E. Finished Stock and other merchandise for sale, at the Insured's selling price less discounts to which the goods would have been subject had no loss occurred.
- F. Property of others and property leased by the Insured, or for which the Insured has agreed to insure, at the Insured's option either:
 - (1) the Replacement Cost New, or;
 - (2) the amount stipulated in the lease agreement, or;
 - (3) Insured's contractual or legal liability.
- G. Stock in process (raw stock which has undergone any aging, seasoning, or other processing by the Insured, but which has not become finished stock) shall be valued at the Insured's selling price of finished stock at the time of loss, less any manufacturing expense not incurred by the Insured and less any discounts, rebates, and unincurred expenses to which the sales price would have been subject.
- H. All other property, not otherwise mentioned above, at the Replacement Cost New; if not replaced, then at the actual cash value.

It is understood and agreed that as respects Replacement Cost New, the Insured shall have the option of replacing EDP Systems having technological advantages and/or representing an improvement in function and/or forming part of a program of system enhancement provided that such replacement can be accomplished without increasing the Insurer's liability.

Permission is granted for the Insured to replace the property with similar or improved property at the same or another site within the territorial limits of the policy, but recovery is limited to the Replacement Cost New of the existing property at the same site.

8. DEMOLITION AND INCREASED COST OF CONSTRUCTION:

In the event of loss or damage insured under this policy that causes the enforcement of any law, ordinance and/or governmental directive regulating the construction, repair or use of the property, the Insurer shall be liable for:

- A. The cost of demolishing the undamaged property including the cost of clearing the site;
- B. The proportion that the value of the undamaged part of the property bore to the value of the entire property prior to loss;
- C. The increased cost of repair or reconstruction of the damaged and undamaged property on the same or another site and limited to the costs that would have been incurred in order to comply with the minimum requirements of such law, ordinance and/or governmental directive regulating the repair or reconstruction or use of the damaged property on the same site or another site. However, the Insurer shall not be liable for any increased cost of construction loss unless the damaged property is actually rebuilt or replaced;
- D. The increase in loss, including, but not limited to, Business Interruption, Extra Expense, Rental Value, Leasehold Interest or Royalties or extensions thereof arising out of the additional time required to comply with said law, ordinance and/or governmental directive.

9. FIRE BRIGADE CHARGES AND EXTINGUISHING EXPENSES

This policy insures the following expenses resulting from loss or damage insured herein:

- A. Fire brigade charges and other extinguishing expenses for which the Insured may be assessed;
- B. Loss of fire extinguishing materials expended.

10. DEBRIS REMOVAL

This policy insures the necessary and reasonable expenses actually incurred by the Insured due to loss or damage as insured herein, occurring during the term of this policy, to remove, clean up and/or properly dispose of any debris remaining after any such loss or damage.

11. DECONTAMINATION AND POLLUTION CLEAN UP EXPENSE

- A. We will pay up to the Program Limit to remove pollutants or Hazardous Substances from covered property, land, soil, surface or ground water upon, within, beneath or comprising a covered location at a covered location, if the pollution results from a Specified Peril, subject to the applicable limit of liability.

- B. We will pay up to the amount stated in the Declarations section of this Policy remove pollutants or Hazardous Substances from covered property, land, soil, surface or ground water upon, within, beneath or comprising a covered location at a covered location, if the pollution results from a peril insured against other than a Specified Peril.
- C. We will pay up to the amount stated in the Declarations section of this Policy for testing performed in the course of extracting the pollutants from covered locations and for emergency measures undertaken in order to mitigate any circumstances pertaining to pollution and/or contamination.

We will only pay these expenses if these expenses are reported to us in writing within three hundred sixty-five (365) days of the date of the covered loss or sixty (60) days after the end of the policy period, whichever is earlier.

The coverage extensions in this section override any endorsements attached to this policy that could potentially exclude or limit coverage as described in sections 11.A. or 11.B.

12. LAND AND WATER CONTAMINANT CLEANUP, REMOVAL, AND DISPOSAL:

We will pay reasonable and necessary costs and expenses incurred by you to remove, dispose of, or clean-up the actual presence of pollutants or contaminants from land or water at a covered location when such land or water is polluted or contaminated due to an insured cause of loss at that covered location. This Section 12. Land and Water Pollutants or Contaminants Clean-Up does not apply unless such expenses are reported to us within 180 days after the date of such insureds or within 90 days after the expiration of this Policy, whichever is earlier. It is a condition precedent to recovery under this clause that we shall have paid or agreed to pay for, loss or damage to covered property unless such payment is precluded solely by the operation of any deductible.

13. MOLD AND FUNGUS CLEANUP

- A. We will pay to remove Mold or Fungus from covered property at a covered location as the result of a peril insured against; and
- B. The cost of repair, replacement or rebuilding of the property of the Insured's that is damaged as a result of Mold or Fungus.

We will only pay these expenses if these expenses are reported to us in writing within three hundred sixty-five (365) days of the date of the covered loss or sixty (60) days after the end of the policy period, whichever is earlier.

The coverage extensions in this section override any endorsements attached to this policy that could potentially exclude or limit coverage as described in sections 13.A. or 13.B.

14. DEFERRED PAYMENTS:

We will pay for your interest in personal property that sustains direct physical loss or damage caused by an insured cause of loss that is sold by you under a conditional sale, trust agreement or

installment or deferred payment plan, but only to the extent you are unable to collect the unpaid balance of such interest.

This Section 14. Deferred Payments applies only to loss or damage occurring after the personal property is sold but prior to the earlier of the time your financial interest in such personal property has ceased or the termination or expiration of this Policy.

We shall only pay the least of the following:

- A. The total amount of unpaid installments due to you with respect to such personal property;
- B. The extent of your financial interest in such personal property;
- C. The actual cash value of such personal property at the time such direct physical loss or damage occurs; or
- D. The cost to repair or replace such personal property with materials of like kind and quality.

This Section 14. Deferred Payments does not apply to: (1) default by the buyer of such agreement or plan; (2) the peril of theft or conversion by the buyer; or (3) products recalled.

15. MISCELLANEOUS PERSONAL PROPERTY:

We will pay for direct physical loss or damage to property of the type insured under this Policy by an insured cause of loss to the extent of your insurable interest:

- A. At or which is a miscellaneous unnamed location.
- B. Consisting of construction materials that are intended to be used in your construction project at a covered location:
 - (1) From the time such construction materials are delivered to you or your contractor; and
 - (2) While such construction materials are:
 - (a) Located at an off-premises storage site; or
 - (b) In transit from an off-premises storage for property under construction to another off premises storage for property under construction or to your construction project at a covered location.
- C. Consisting of personal property:
 - (1) Owned by you; or

- (2) In your care, custody and control, but only to the extent of your legal liability; while such personal property is temporarily at a location you do not own, rent, lease or operate.

No coverage is provided for new buildings, additions or alterations for such property while in the course of construction under this Section 15. Miscellaneous Personal Property.

This Section 15. Miscellaneous Personal Property does not apply to loss or damage which is covered under Section 38. Errors and Omissions or Section 16. Newly Acquired Property.

16. NEWLY ACQUIRED PROPERTY:

We will pay for direct physical loss or damage caused by an insured cause of loss to real or personal property of the type insured under this Policy that you rent, lease, purchase or acquire after the inception date of this Policy to the extent of your interest in such property. This Section 22. Newly Acquired Property commences when you first acquire an insurable interest in the property and ceases at the earliest of the following:

- A. The number of days shown in the Declarations section of this Policy after the effective date of the rental, lease, purchase or acquisition of such property;
- B. When the newly acquired property is bound by us;
- C. When we notify you that we will not bind the newly acquired property; or
- D. When this Policy is cancelled or expires.

This Section 16. Newly Acquired Property does not apply to loss or damage which is covered under Section 38. Errors and Omissions or Section 15. Miscellaneous Personal Property. We will charge you additional premium for values reported from the date you acquire the property.

17. OUTDOOR PROPERTY:

We will pay for direct physical loss or damage to outdoor property at a covered location, but only for loss or damage caused directly by an insured cause of loss.

Outdoor property means outdoor: (i) lawns (including fairways, greens and tees), trees, shrubs, plants, and (ii) walkways, roadways, patios or other paved surfaces, including the fill beneath such paved surfaces.

18. NOTICE OF LOSS

The Insured shall report to the Insurer any loss or damage which may become a claim under this insurance policy as soon as may be practicable after it becomes known to the Director of the Risk Management Department (or the individual acting in a similar capacity) of the Insured.

19. KNOWLEDGE OF AN OCCURRENCE

It is agreed that knowledge of an Occurrence by an agent, servant or employee of the Insured shall not in itself constitute knowledge by the Insured. Knowledge is understood to occur only when the Director of the Risk Management Department (or the individual acting in a similar capacity) of the Insured shall have received notice from its agent, servant or employee.

20. PROOF AND PAYMENT OF LOSS

A detailed Proof of Loss shall be filed with the Insurer as soon as practicable. Loss shall be adjusted with the Risk Management Department of the Insured or assigned representatives, and all adjusted claims shall be paid to the Insured or its order within Thirty (30) days after filing a Proof of Loss.

21. NON-REDUCTION OF LIMITS OF LIABILITY

Any loss hereunder shall not reduce the limit(s) of liability under this policy except for aggregate limits as described in Program Limits of Liability section of the Policy Declarations.

22. SUBROGATION AND SUBROGATION WAIVER

- A. It is agreed that upon payment of any loss, this Insurer is subrogated to all the rights of the Insured to the extent of such payment.

Any release or waiver of liability entered into by the Insured in the course of their business prior to loss (including but not limited to bills of lading and/or receipts from carriers, bailees, warehouseman, lighterman, processors, limiting or releasing their liability) hereunder shall not prejudice the Insured's rights of recovery under this policy.

- B. The right of subrogation against the Insured's subsidiary, affiliated, or associated corporations or companies, joint ventures, partnerships or individuals, or any other party required to be insured, or any other corporations or companies associated with the Insured through ownership or management is waived, and at the option of the Insured, subrogation is waived against any tenant or landlord of the Insured.
- C. In the event of any payment under this policy, except where subrogation rights have been waived, the Insurer shall be subrogated to the extent of such payment to all the Insured's rights of recovery, in respect thereof. The Insured shall execute all papers required and shall take reasonable and necessary action to secure such subrogation rights. The Insurer will act in concert with all other interests concerned, i.e., the Insured and any other company(ies) participating in the payment of any loss as primary or excess insurers, in the exercise of such rights of recovery. If any amount is recovered, after deducting the costs of recovery, such amount shall be divided between the interests concerned in the proportion of their respective interests. If there should be no recovery, all costs and expenses shall be borne by the party instituting the proceedings.

23. SUE AND LABOR:

In case of actual or imminent loss or damage insured herein, it shall be lawful and necessary for the Insured, their factors, servants or assignees, to sue, labor and travel for, in and about the defense, safeguard and recovery of the property insured hereunder, or any part thereof, without prejudice of this insurance. Nor shall the acts of the Insured or these Insurers in recovering, saving, and preserving the property insured in case of actual or imminent loss or damage, be considered a waiver or acceptance of an abandonment. The Insurer will be responsible for all expenses. The deductible provision of this policy shall not apply to this clause. This provision does not increase the limit of liability of this policy.

24. APPRAISAL:

In case the Insured and this Insurer shall fail to agree as to the amount of loss, then, on the written demand of either, each shall select a competent and disinterested appraiser and notify the other of the appraiser selected within Twenty (20) days of such demand. The appraisers shall select a competent and disinterested umpire; and, failing for Fifteen (15) days to agree upon such umpire, then on request of the Insured or the Insurer, such umpire shall be selected by a judge of a district court of a judicial district in accordance with the Jurisdiction and Suit clause of this policy. The appraisers shall then appraise the loss, separating the loss to each item; and, failing to agree, shall submit their differences only to the umpire. An award in writing, so itemized of any two when filed with the Insurer, shall determine the amount of loss. Each appraiser shall be paid by the party selecting each respective appraiser and the expenses of appraisal and umpire shall be paid by the parties equally. However, if the award is greater than the amount offered by the Insurer in payment of the loss at any time before the award is rendered, then the Insurer shall pay 100% of the fees and expenses for each appraiser and the umpire and for the appraisal.

25. BRANDS AND LABELS

In case of insured loss or damage to property bearing a brand or trademark or which in any way carries or implies the guarantee or the responsibility of the manufacturer or the Insured, the salvage value of such damaged property shall be determined after removal in the customary manner, at the expense of the Insurer, of all such brands or trademarks or other identifying characteristics.

26. CONTROL OF DAMAGED MERCHANDISE

The Insured shall have full right to the possession of all merchandise manufactured, sold or distributed by the Insured involved in any loss under this policy and shall retain control of all damaged merchandise. The Insured, exercising reasonable discretion, shall be the sole judge as to whether the merchandise involved in any loss under this policy are fit for consumption, sale or use and any merchandise so deemed by the Insured to be unfit for consumption, sale or use shall not be sold or otherwise disposed of except by the Insured or with the Insured's consent, but the Insured shall allow this Insurer any salvage proceeds obtained by the Insured on any sale or other disposition of such merchandise.

27. SALVAGE AND RECOVERIES

Except as described in Clause 26, after expenses incurred in salvage or recovery are deducted, any salvage or other recovery, except recovery through subrogation proceedings and/or from underlying and/or excess insurance as described herein, shall accrue entirely to the benefit of this Insurer until the sum paid by the Insurer has been recovered.

28. EXPEDITING EXPENSE

This policy insures the reasonable extra cost of temporary repair or replacement and of expediting the repair or replacement of damaged property insured hereunder, including overtime and express freight or other rapid means of transportation.

29. JURISDICTION AND SUIT

It is hereby understood and agreed that:

- A. In the event of the failure of the Insurer to pay an amount claimed to be due hereunder, at the direction of the Insured, the Insurer will submit to the jurisdiction of any court of competent jurisdiction within the United States and will comply with all requirements necessary to give such jurisdiction. All matters arising hereunder shall be determined in accordance with the law and practice of such court.
- B. In any suit instituted against it under this policy, the Insurer will abide by the final decision of such court or any appellate court in the event of an appeal.

30. PAIR AND SET/CONSEQUENTIAL REDUCTION IN VALUE

In the event of insured loss or damage to personal property, this policy shall insure the resulting reduction in value of the remaining undamaged components or parts of products customarily sold as individual units or sold as pairs, sets or lots or ranges of sizes or colors.

31. CONSEQUENTIAL/SEQUENTIAL DAMAGE:

This policy insures consequential/sequential loss or damage caused by or resulting from the change in temperature or humidity caused by, but not limited to, interruption of power, heat, light, air conditioning, refrigeration, telephone or telegraphs, supply water or telecommunications to property/equipment or plants used to provide refrigeration, cooling, humidifying, dehumidifying, air conditioning, heating, generating, converting power, or telephone or telegraphs, or telecommunications, including all connections and supply from transmission lines and pipes, power generating equipment, utility plants or sources, whether or not such equipment is on or off the premises of the Insured.

32. PERMITS:

Permission is hereby granted for any building(s) to be and remain vacant and unoccupied without limit of time and without prejudice to the Insured's right of recovery for claim under this policy.

Any change in occupancy or use of the premises or any increase in hazard shall not prejudice the Insured's right of recovery for claim under this policy.

33. CONTRIBUTING INSURANCE:

Permission is granted for other policies written upon the same terms, conditions, and provisions irrespective of limit or attachment point as those contained in this policy. This policy shall contribute to the total of each loss otherwise payable herein to the extent of the participation of this policy in the total limit of liability stated herein.

34. EXCESS INSURANCE:

Permission is granted for the Insured to have excess insurance over the limit of liability in this policy without prejudice to this policy and the existence of such insurance, if any, shall not reduce any liability under this policy.

35. UNDERLYING INSURANCE:

Permission is granted for the Insured to purchase insurance on all or any part of the deductible and against all or any of the coverage provided by this policy. The existence of such underlying insurance shall not prejudice or affect any recovery otherwise payable under this policy.

36. OTHER INSURANCE

Except as referred to in Clause 33 Contributing Insurance, Clause 34 Excess Insurance and Clause 35 Underlying Insurance, this policy shall not insure to the extent of any other insurance, whether prior or subsequent hereto in date and whether directly or indirectly insuring the same property against the same loss or damage. This insurance shall be excess of and/or supplementary to the amount recoverable from such other collectible insurance.

37. COINSURANCE WAIVER:

This policy is not subject to Coinsurance or Average Clause.

38. ERRORS AND OMISSIONS:

No inadvertent error, omission or failure in making reports or other data hereunder shall prejudice the Insured's right of recovery but shall be corrected when discovered. It is further understood and agreed that any error in description of locations, or values of projects insured or to be insured by this policy shall not invalidate or reduce the policy limit of liability, or otherwise prejudice any recovery under this policy.

39. LIBERALIZATION

If during the period that insurance is in force under this policy, any authorized endorsement or filed rules or regulations affecting the same are revised by statute or otherwise so as to broaden the insurance without additional premium charge, such extended or broadened insurance shall inure to the benefit of the Insured hereunder.

40. TITLES OR PARAGRAPHS

The several titles of the various paragraphs of this policy (and of Endorsements and Supplemental Policies, if any, which are attached to this policy) are inserted solely for convenience or reference and shall not be deemed in any way to limit or affect the provisions to which they relate.

41. CERTIFICATE OF INSURANCE:

All parties to whom a Certificate of Insurance has been issued are automatically added to this policy upon issuance of said certificates, either as Additional Insureds or as Loss Payees, or both, in accordance with the terms and conditions of this policy unless otherwise agreed to by the Insurer. Permission is granted for Lockton Companies to issue Certificates on the Insurer's behalf.

42. PARTIAL PAYMENT OF LOSS:

It is understood and agreed that this Insurer may make partial payments of claims subject to the policy provisions and the normal policy adjustment provisions.

To obtain said partial claim payment, the Insured shall submit a partial Proof of Loss with supporting documentation.

43. LENDERS LOSS PAYEE AND MORTGAGEE INTEREST AND OBLIGATIONS:

- A. The Company will pay for loss to specified property insured under this Policy to each specified Lender Loss Payee (hereinafter referred to as Lender) as its interest may appear, and to each specified Mortgagee as its interest may appear, under all present or future mortgages upon such property, in order of precedence of the mortgages.
- B. The interest of the Lender or Mortgagee (as the case may be) in property insured under this Policy will not be invalidated by:
 - (1) any act or neglect of the debtor, mortgagor, or owner (as the case may be) of the property.
 - (2) foreclosure, notice of sale, or similar proceedings with respect to the property.
 - (3) change in the title or ownership of the property.
 - (4) change to a more hazardous occupancy.

The Lender or Mortgagee will notify the Company of any known change in ownership, occupancy, or hazard and, within 10 days of written request by the Company, may pay the increased premium associated with such known change. If the Lender or Mortgagee fails to pay the increased premium, all coverage under this Policy will cease.

- C. If this Policy is cancelled at the request of the Insured or its agent, the coverage for the interest of the Lender or Mortgagee will terminate 10 days after the Company sends to the Lender or Mortgagee written notice of cancellation, unless:
 - (1) sooner terminated by authorization, consent, approval, acceptance, or ratification of the Insured's action by the Lender or Mortgagee, or its agent.
 - (2) this Policy is replaced by the Insured, with a policy providing coverage for the interest of the Lender or Mortgagee, in which event coverage under this Policy

with respect to such interest will terminate as of the effective date of the replacement policy, notwithstanding any other provision of this Policy.

- D. The Company may cancel this Policy and/or the interest of the Lender or Mortgagee under this Policy, by giving the Lender or Mortgagee written notice 60 days prior to the effective date of cancellation, if cancellation is for any reason other than non-payment. If the debtor, mortgagor, or owner has failed to pay any premium due under this Policy, the Company may cancel this Policy for such non-payment, but will give the Lender or Mortgagee written notice 10 days prior to the effective date of cancellation. If the Lender or Mortgagee fails to pay the premium due by the specified cancellation date, all coverage under this Policy will cease.
- E. If the Company pays the Lender or Mortgagee for any loss, and denies payment to the debtor, mortgagor or owner, the Company will, to the extent of the payment made to the Lender or Mortgagee be subrogated to the rights of the Lender or Mortgagee under all securities held as collateral to the debt or mortgage. No subrogation will impair the right of the Lender or Mortgagee to sue or recover the full amount of its claim. At its option, the Company may pay to the Lender or Mortgagee the whole principal due on the debt or mortgage plus any accrued interest. In this event, all rights and securities will be assigned and transferred from the Lender or Mortgagee to the Company, and the remaining debt or mortgage will be paid to the Company.
- F. If the Insured fails to render proof of loss, the Lender or Mortgagee, upon notice of the Insured's failure to do so, will render proof of loss within 60 days of notice and will be subject to the provisions of this Policy relating to APPRAISAL, SETTLEMENT OF CLAIMS, and SUIT AGAINST THE COMPANY.
- G. Other provisions relating to the interests and obligations of the Lender or Mortgagee may be added to this Policy by agreement in writing.

44. CANCELLATION:

- A. This policy may be canceled at any time at the request of the first named Insured, or it may be canceled by the Insurer by mailing via registered or certified mail to:

Westminster Management, LLC 767 Fifth Avenue, Floor 50, New York NY
10153

and with copies provided to:

Lockton Companies, 1185 Avenue of Americas, Floor 20, New York, NY 10036

during the term of this policy, written notice stating when no less than Ninety (90) days thereafter, except Ten (10) days for nonpayment of premium, such cancellation shall be effective.

This insurance may be canceled at any time by the Insured by surrender of this policy to the Insurer or by mailing or delivery to the Insurer written notice stating when thereafter such cancellation shall take effect. Return premium shall be allowed the Insured on a pro rata basis if the Insurer cancels and also on a pro rata basis if the Insured cancels.

Payments or tender of any unearned premium by the Insurer shall not be a condition precedent to the effectiveness of cancellation, but such payment shall be made as soon as practicable.

- B. The mailing of notice as described in A. above shall be sufficient proof of notice and the effective date and hour of cancellation stated in the notice shall become the end of the policy period. Delivery of such written notice either by the Insured or by this Insurer shall be equivalent to mailing.
- C. Cancellation shall not affect coverage on any shipment in transit on the date of cancellation. Coverage will continue in full force until such property is safely delivered and accepted at place of final destination.

45. INSPECTION AND AUDIT:

This Insurer shall be permitted, but not obligated, to inspect the Insured's property at any reasonable time. Neither the Insurer's right to make inspections, nor the making thereof, nor any report thereon, shall constitute an undertaking, on behalf of or for the benefit of the Insured or others, to determine or warrant that such property is safe.

46. PROFESSIONAL FEES:

This policy is extended to insure expenses incurred by the Insured, or by the Insured's representatives for assessing, for preparing and/or certifying details of a claim resulting from a loss which would be payable under this policy. However, this policy does not insure the expenses of Public Adjustors.

47. CURRENCY:

It is hereby understood and agreed that all amounts used herein are in United States currency and that premiums shall be paid, and all losses shall be adjusted and paid in United States currency. In the event of a loss adjustment involving foreign currency, conversion into the currency of the United States of America shall be calculated as follows:

- A. As respects real and personal property, the cost of repair, replacement or reconditioning shall be converted, at the option of the Insured, based on any of the following:
 - (1) date of loss;
 - (2) date of repair, replacement or reconditioning;
 - (3) date of acceptance or proof of loss or settlement.

Options A.1 – A.3 shall be based on the rate of exchange quoted in the *Wall Street Journal*

If the property is not replaced or repaired, the conversion into the currency of the United States of America shall be at the rate of exchange quoted in the *Wall Street Journal* as of the date of loss.

- B. As respects all other coverages, currency shall be converted at the rate of exchange quoted in the *Wall Street Journal* and such rate of exchange shall be based on the average of daily rate of exchange quoted in the *Wall Street Journal* for the period of loss.

48. TAX LIABILITY:

- A. In the event that a loss insured hereunder cannot be paid in the country where the loss insured under this policy has occurred, this Insurer shall be liable for an additional loss payment in accordance with the following formula:

$$\text{Loss payment due under this section} = \frac{C-A}{B} \text{ MINUS } C$$

defined as:

- (1) local tax benefit received where the loss occurred.
 - (2) 1 minus the effective tax rate in the country where loss payments are received.
The tax rate shall be the corporate tax rate in effect for the fiscal year when the loss occurred.
 - (3) actual loss otherwise payable under this policy, except for the operation of this clause.
- B. Should the effective local tax rate where the loss occurs be equal to or greater than the effective tax rate in the country where loss payments are to be received, then the formula stated in Clause A above shall not apply. The tax rates applicable shall be the respective corporate tax rates in effect for the fiscal year when the loss occurred.

49. DIFFERENCE IN CONDITIONS:

Subject to all other terms and conditions set forth herein, coverage under this policy is to apply only when coverage and/or definitions and/or conditions set forth herein are broader in meaning or scope than those of specific underlying or primary policies. The insurance provided by this policy will apply as contributing or excess insurance as respects loss arising from loss or damage insured under such other policies. In the absence of any other valid and collectible insurance, this policy shall become primary, subject to the terms and conditions of this policy.

50. TAX TREATMENT OF PROFITS:

This policy is extended to insure the additional loss sustained by the Insured resulting from loss or damage insured by this policy in the event the tax treatment of:

- A. the profit portion of a loss recovery involving finished stock manufactured or purchased by the Insured; and/or

- B. the profit portion of business interruption loss proceeds; differs from the tax treatment of profits that would have been incurred had no loss occurred.

51. TENTANTS AND NEIGHBORS LIABILITY:

This Policy insures:

A.

- (1) The liability, which the Insured incurs as tenant or occupant under the articles of any civil or commercial code, because of damage to real and personal property by loss or damage insured by this policy;
- (2) The liability, which the Insured incurs under articles of any civil or commercial code, for damage to real or personal property from loss or damage spreading from the Insured's premises to the premises of neighbors, cotenants and other third parties;
- (3) The liability, which the Insured as landlord incurs under articles of any civil or commercial code, for loss or damage to the personal property of tenants insured by this policy as a result of constructional defects or lack of maintenance;

- B. This extension applies only to liability incurred in those countries or jurisdictions in which a Napoleonic or other civil or commercial code applies due to loss or damage as defined by such code and as insured hereunder.

52. SEVERABILITY OF INTEREST:

Each of the Insureds insured by this policy will have the same protection and obligations as if the policy has been issued individually to each of them, except as respects the obligations associated with Clause 44. Cancellation. However, the inclusion of more than one Insured will not operate to increase the limit of liability of the Insurer beyond the limit of liability stated in this policy.

53. LOSS ADJUSTORS:

It is hereby understood and agreed that each and every loss will be adjusted by:

Vericclaim Inc., New York, NY

54. LOSS PAYABLE:

Loss, if any, shall be adjusted with and payable to *Westminster Management, LLC* or order.

55. FORM PRIORITY:

The conditions contained in this Policy Form shall supersede those of the basic policy to which this Policy Form is attached wherever the same may conflict. As respects all forms, special endorsements, extensions of coverage, changes and additions to any and all parts of this Policy, should any of them be in conflict with one another, the one with the broadest coverage shall apply and prevail.

56. NO CONTROL:

This policy shall not be prejudiced by any act or neglect of the owner of any building if the Insured is not the owner thereof, or by any act or neglect of any occupant of any building, when such act or neglect of the owner or occupant is not within the control of the Insured, or by failure of the Insured to comply with any warranty or condition contained in any form or Endorsement attached to this policy with regard to any portion of the premises over which the Insured has no control.

57. EXTENDED WARRANTIES:

Coverage is extended to include the pro rata portion of the original cost of your nonrefundable extended warranties, maintenance contracts or service contracts based on the period of time remaining in your nonrefundable extended warranties, maintenance contracts or service contracts that you purchased and which are no longer valid on damaged covered property that you repair or replace.

58. MOVE BACK EXPENSE:

The Policy provides coverages for expenses incurred by you for covered move-back costs of tenants who temporarily vacate a portion of a covered building property at the premises described in this policy. The vacancy must have occurred while the portion of the building property rented by the tenant could not be occupied due to direct physical loss or damage to your covered property caused by or resulting from any insured cause of loss during the policy period. The move back must take place within 60 days after the portion of the covered building property rented by the tenant has been repaired or rebuilt and is ready for occupancy. We will pay for covered move-back costs whether or not the tenant(s) move back before the expiration date of this policy.

Covered Move-Back Costs means documented, reasonable and necessary:

- A. Costs of packing, insuring and carting business personal property;
- B. Costs of reestablishing electric utility services, less refunds from discontinued services;
- C. Costs of assembling and setting up fixtures and equipment; and
- D. Costs to unpack and reshelve stock and supplies.

Covered Move-Back Costs does not include:

- A. Loss caused by the termination of a lease or other agreement; or
- B. Security deposits or other payments, forfeitures or penalties made to the landlord or lessor of other premises.

59. DROP-DOWN WORDING:

It is agreed and understood that in the event of a reduction or exhaustion of the underlying limit or limits, it is hereby understood and agreed that such insurance as is afforded by this Policy shall apply in excess of the reduced underlying limit, or if such limits are exhausted, shall apply as

underlying insurance, notwithstanding anything to the contrary in the terms and conditions of this Policy.

In no event, however, shall this Company be liable for more than the limits of liability specified in this policy. It is a condition of this Policy that the policies of the primary and underlying excess insurers shall be maintained in full effect during the currency of this Policy except for any reduction or exhaustion of the aggregate limits contained solely therein by payments of losses during the policy year.

60. PRIORITY OF PAYMENTS:

The amount of loss from any one occurrence for which this policy is excess shall be determined by the combined loss, damage or expense as insured by the Underlying Policy(ies). Any recovery made under such Underlying Policy(ies) shall be treated as applying first in satisfaction of the interests (for application of this policy condition, meaning perils insured, coverages provided and/or locations insured) not insured by this Policy, and thereafter in satisfaction of the interests insured under this Policy. Upon exhaustion of the Underlying Policy's(ies') limits, this Policy shall be liable for the amount of loss in excess of the amount attributable to the Underlying Policy(ies) for interests insured by this Policy, but such liability shall only apply to interests insured by this Policy.

61. DEFINITIONS:

The following terms whenever used in this policy shall mean:

A. Accidental Occurrence

A sudden and accidental occurrence which does not result from physical loss or damage.

However, accidental occurrence does not include, under any circumstances, coverage for hostile or warlike action, nuclear reaction or radiation or pollution and contamination as excluded in Clauses 2.A., 2.B. and 2.F.

B. Architect Fees and Engineering Fees

Any cost associated with the preparation of plans for the repair or reconstruction of the damaged property.

C. Attraction Properties

Properties, not owned or operated by the Insured, which attract potential customers to the vicinity of the Insured's location and are located within ten (10) statute miles of an insured location.

D. Earthquake

Quaking, vibratory or undulating movement of a portion of the earth's crust, produced by underground volcanic forces or by breaking and shifting of rock beneath the earth's crust. It is understood and agreed that, wherever used in this policy, the term "loss caused by" or "loss arising from" Earthquake shall be restricted exclusively to the actual, specific cracking, rupturing, shifting or toppling of property and shall not include ensuing loss or

damage, if any, resulting from other loss or damage insured. Such ensuing loss shall be construed to have been of the same Occurrence, but of a different proximate cause.

E. EDP Systems

Electronic Data Processing Systems shall include, but not be limited to, transferring equipment, computer systems, telecommunications systems or electronic control equipment and component parts.

F. EDP Media

All forms of data, converted data, electronically converted data and/or programs and/or applications and/or instructions and/or media vehicles employed.

G. Fine Arts

Fine Arts shall include, but not be limited to, bona fide works of art, works of rarity, works of historical value, works of artistic merit, photographs, (positives and negatives) lithographs, illustrations, galley proofs, original records.

H. Finished Stock

Stock manufactured by the Insured which, in the ordinary course of the Insured's business, is ready for packing, shipment or sale.

I. Fire Brigade Charges/Fire Extinguishing Materials and Expenses

Firefighting and/or containment charges and/or fire department service charges and other extinguishing expenses.

J. Flood

Waves, tide or tidal water, tsunamis, rapid accumulation of surface waters, or the rising (including overflowing or breaking of boundaries) of lakes, reservoirs, rivers, streams or other bodies of water, whether driven by wind or not. It is understood and agreed that, whenever used in this policy, the term "loss caused by" or "loss arising from" flood shall not include ensuing loss or damage, if any, resulting from other loss or damage insured. Such ensuing loss shall be construed to have been of the same Occurrence, but of a different proximate cause.

K. Fraudulent or Dishonest Acts

Fraudulent or dishonest acts committed by the Insured or the Insured's employees with the manifest intent to:

- (1) Cause the Insured to sustain such loss; and
- (2) Obtain financial benefit for the Insured, Insured's employee, or for any other person or organization intended by the Insured or the employee to receive such benefit for such fraudulent or dishonest act or acts.

L. Fungus or Mold

Fungus or Mold means any of the plants or organisms belonging to the major group fungi, lacking chlorophyll, and including mold(s), rusts, mildews, yeasts, smuts and mushrooms. mold means any superficial growth produced on damp or decaying organic matter or on living organisms, and fungi that produce mold(s). Both definitions include any spores or toxins created or produced by or emanating from such Fungus or Mold. spores mean any dormant or reproductive body produced by or arising or emanating out of Fungus or Mold.

M. Golf Course Property

- (1) The real property of the insured's golf course known as:
 - (a) Tee(s) meaning the designated area of a golf course from which the golfer makes a first stroke at each hole according to the rules of golf;
 - (b) Green(s) meaning the smooth, closely mowed grass area which is a functional part of the golf course designated for putting;
 - (c) Fairway(s) meaning all ground specifically prepared and cut for play (including rough) between the teeing area and the putting green area; fairway(s) does not include out-of-bounds areas so designated by the Insured's golf facility;
 - (d) Golf cart paths; and
- (2) Golf course amenities including but not limited to flags, ball washers, benches, tee markers, tee monuments, tee signs, exterior light fixtures, poles and bells.
- (3) All other real property and personal property including but not limited to landscaping as defined and outlined in Section 3. Limits of Liability.

N. Hazardous Substance

Hazardous Substance means any solid, liquid, gaseous, or thermal irritant, contaminant(s), or pollutant(s), which includes, but is not limited to, smoke, soot, vapor, fumes, acids, alkalis, chemicals, bacteria, Fungus or Mold, viruses, spores, vaccines, and waste. Waste includes materials to be reconditioned, recycled, or reclaimed.

O. Land Improvements

Land improvements as described hereunder include, but are not limited to, any alteration to the natural condition of the land by grading, excavating, landscaping, earthen dikes or dams, as well as additions to land such as pavements, roadways, ponds, golf courses, or similar works.

P. Lease Interest

The excess rent paid for the same or similar replacement property over actual rent payable plus cash bonuses or advance rent paid (including any maintenance or operating charges) for each month during the unexpired term of the Insured's lease; and/or

The rental income earned by the Insured from sublease agreements, to the extent not insured under any other section of this policy, over and above the rental expenses specified in the lease between the Insured and the lessor.

Q. Named Windstorm

Any storm cell that is declared by the National Weather Bureau and/or National Hurricane Center and/or any other recognized authority to be a Hurricane, Typhoon, Tropical Cyclone or Tropical Storm until its maximum sustained wind speed drops below 39 mph.

R. Net Lease Interest

That sum which placed at 6% interest compounded annually would equal the Lease Interest (less any amounts otherwise payable hereunder).

S. Object

Means any boiler, fired or unfired vessel subject to pressure or vacuum, including piping or apparatus attached thereto and forming a part thereof, and any mechanical or electrical machine or apparatus used for the generation, transmission or utilization of mechanical or electrical power.

T. Occurrence

Loss, or a series of losses or several losses, which are attributable directly or indirectly to one cause or disaster or to one series of similar causes or disasters arising from a single event. All such losses shall be added together, and the total amount of such losses shall be treated as one Occurrence irrespective of the period of time or area over which such losses occur.

When the term applies to Named Windstorms, it shall be defined as the sum total of all losses arising out of or caused by the same atmospheric disturbance during any period of 72 consecutive hours. The Insured shall have the right to elect the moment from which the 72-hour period shall be deemed to have commenced, provided always that no elected period of 72 hours shall commence within the period of any previous occurrence.

When the term applies to Earthquake, it shall be defined as the sum total of all the Insured's losses sustained during any period of 168 consecutive hours by reason of one Earthquake or a series of Earthquake. The Insured may elect the moment from which the 168-hour period shall be deemed to have commenced, provided always that no elected period of 168 hours shall commence within the period of any previous occurrence.

When the term applies to Flood, it shall be defined as the sum total of all losses sustained by reason of one Flood or a series of Floods.

When the term applies to theft, the sum total of all losses insured herein resulting from one or more Fraudulent or Dishonest Acts committed by a person(s) acting alone or in collusion with others shall constitute one occurrence.

U. Ordinary Payroll

Ordinary Payroll is the entire payroll expense for all employees of the Insured except officers, executives, employees under contract, and other critical employees.

V. Program

Program means the sum of all policies issued to the Insured, inclusive of any self-insurance, which may be arranged in one or more layers that provide coverage up to an agreed Program limit as shown in Clause 6. Program Limits of Liability of the Declarations section of this Policy.

W. Replacement Cost New

Is defined as the lesser of the cost to repair, rebuild or replace the property with new materials of like kind and quality.

X. Soft Costs

Expenses related to the delay of completion of a project over and above those costs which would have been incurred, including, but not limited to, interest payments on financing under loan agreements and real estate taxes accruing during the period of delay.

Y. Specified Perils

Direct Physical loss or damage caused by or resulting from fire, lightning, aircraft, explosion, riot, civil commotion, smoke, vehicles, wind or hail, malicious mischief, leakage or accidental discharge from automatic fire protection systems, and collapse.

Z. Spoilage

This Policy is extended to cover spoilage as a result of an Insured cause of loss. The Company shall be liable for direct physical loss or damage to:

(1) Perishable Goods due to spoilage; or

(2) Perishable Goods due to contamination from the release of refrigerant including, but not limited to, ammonia.

If the insured is unable to replace the perishable goods before its anticipated sale, payment will be determined on the basis of the sales price of the perishable goods at the time of loss, less discounts and expenses that otherwise would have applied. Otherwise, payment will be determined in accordance with Section Iv – Valuation of this Policy.

AA. Transit

Shipments within and between the territorial limits of this policy, including the coastal waters thereof, by any means of conveyance, from the time the property is moved for purpose of loading and continuously thereafter while awaiting and during loading and unloading and in temporary storage including temporary storage on any conveyance intended for use for any outbound or used for inbound shipment, including during deviation and delay, until safely delivered and accepted at place of final destination.

BB. Underlying Policy

An insurance policy issued to the Insured which is similar as respects the terms and conditions of this policy and issued for limits below the attachment point or deductible of this policy.

CC. Valuable Papers & Records

Written, printed or otherwise inscribed documents, and records including but not limited to books, maps, films, drawings, abstracts, deeds, mortgages, mortgage files, manuscripts and micro or electronically/magnetically inscribed documents, but not including the monetary value of monies and/or securities.

DD. Equipment Breakdown

The term "Equipment Breakdown" is defined solely for the determination of the limits of liability and/or deductible(s) and application of the sue and labor and suspension section only. The term "Equipment Breakdown" shall not limit or define the perils or coverages provided elsewhere in this policy.

(1) The term "Equipment Breakdown" shall mean:

- (a) Any condition or occurrence within boilers or fired or unfired vessels owned by, operated by, or under the control of the Insured and subject to pressure or vacuum including piping or apparatus attached to and forming a part thereof, except that the words "any condition or occurrence" shall not include explosion, other than explosion of the parts of a steam boiler containing steam or water, steam piping, steam turbines, or steam engines;
- (b) Mechanical breakdown of any machine or apparatus arising out of any condition or occurrence within such machine or apparatus;
- (c) Electrical injury or disturbance to electrical appliances, devices, fixtures, wiring, or other electrical or electronic equipment caused by electrical currents artificially generated.

However, the term "Equipment Breakdown" does not include:

- (a) loss or damage from fire or from the use of water or other means to extinguish fire; and
 - (b) the normal operation of any safety or protective device;
- (2) The term "Equipment Breakdown" shall not apply to the following property:
- (a) property in transit;
 - (b) property while in the course of construction, erection, installation, or assembly;
 - (c) electronic data processing systems used for administrative, statistical, or accounting purposes;
 - (d) any sewer piping, any piping forming a part of a fire protective system, or any water piping other than the following:
 - i. boiler feed water piping;
 - ii. boiler condensate return piping;
 - iii. water piping used in a heat transfer system for cooling, humidifying, or space heating purposes;
 - (e) any vehicle, aircraft, or self-propelled equipment or floating vessel.
 - (f) any elevator, crane, ladle or bucket, hoist, power shovel, drag line, excavator, scale, or conveyor, but not excluding any pressure vessel, gears, engines or electrical equipment used with a machine.

Attached to and forming part of Policy No. 1000373743-05 issued by Ironshore Specialty Insurance Company.



SECRETARY
Authorized Representative
Damon Hart

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ADDENDUM A

New Madrid is defined as property located in the following counties:

Arkansas	Arkansas, Clay, Craighead, Crittenden, Cross, Fulton, Greene, Independence, Izard, Jackson, Lawrence, Lee, Lonoke, Mississippi, Monroe, Phillips, Poinsett, Prairie, Randolph, Sharp, St. Francis, White, Woodruff
Illinois	Alexander, Bond, Clay, Clinton, Crawford, Edwards, Effingham, Fayette, Franklin, Gallatin, Hamilton, Hardin, Jackson, Jasper, Jefferson, Johnson, Lawrence, Madison, Marion, Massac, Monroe, Perry, Pope, Pulaski, Randolph, Richland, Saline, St. Clair, Union, Wabash, Washington, Wayne, White, Williamson
Indiana	Gibson, Knox, Pike, Posey, Spencer, Vanderburgh, Warrick
Kentucky	Ballard, Caldwell, Calloway, Carlisle, Christian, Crittenden, Daviess, Fulton, Graves, Henderson, Hickman, Hopkins, Livingston, Lyon, Marshall, McCracken, McLean, Muhlenberg, Todd, Trigg, Union, Webster
Mississippi	Alcorn, Benton, Coahoma, De Soto, Lafayette, Marshall, Panola, Quitman, Tate, Tippah, Tunica
Missouri	Bollinger, Butler, Cape Girardeau, Carter, Dunklin, Iron, Jefferson, Madison, Mississippi, New Madrid, Oregon, Pemiscot, Perry, Reynolds, Ripley, Scott, Shannon, St. Francois, St. Louis, City of St. Louis, Ste. Genevieve, Stoddard, Washington, Wayne
Tennessee	Benton, Carroll, Chester, Crockett, Decatur, Dyer, Fayette, Gibson, Hardeman, Hardin, Haywood, Henderson, Henry, Houston, Humphreys, Lake, Lauderdale, Madison, McNairy, Montgomery, Obion, Perry, Shelby, Stewart, Tipton, Weakley

ADDENDUM B:

Pacific Northwest is defined as property located in the following counties:

Washington	Clallam, Clark, Cowlitz, Grays Harbor, Island, Jefferson, King, Kitsap, Lewis, Mason, Pacific, Pierce, San Juan, Skagit, Snohomish,
Oregon	Benton, Clackamas, Clatsop, Columbia, Lane, Lincoln, Marion,

ADDENDUM C:

"Tier 1" Counties are defined as:

Alabama	Baldwin, Mobile;
Florida:	Entire State;
Georgia:	Bryan, Camden, Chatham, Glynn, Liberty, McIntosh;
Hawaii	Entire State;
Louisiana:	Cameron, Iberia, Jefferson, Lafourche, Orleans, Plaquemines, St. Mary, St. Bernard, St. Tammany, Terrebonne, Vermilion;
Mississippi	Hancock, Harrison, Jackson;
North Carolina	Beaufort, Brunswick, Carteret, Craven, Dare, Hyde, New Hanover, Onslow, Pamlico, Pender;
South Carolina	Beaufort, Berkley, Charleston, Colleton, Georgetown, Horry, Jasper;
Texas:	Aransas, Brazoria, Calhoun, Cameron, Chambers, Galveston, Harris, Jackson, Jefferson, Kennedy, Kleberg, Matagorda, Nueces, Orange, Refugio, San Patricia, Victoria, Willacy;
Virginia	Accomack, Chesapeake, Gloucester, Hampton City, Lancaster, Mathews, Middlesex, Newport News, Norfolk, North Hampton, Northumberland, Poquoson, Portsmouth, Suffolk, Virginia Beach, York

Endorsement #1: CONTRACT OF SALE

The following Loss Payment provision is added to the policy:

1. CONTRACT OF SALE

If:

- (1) Prior to direct physical loss or damage by an Insured cause of loss to Covered Property, the Insured has entered a contract with another person or organization for the sale of the Covered Property; and
- (2) following the direct physical loss or damage by an insured cause of loss to the Covered Property, but before the loss or damage to the Covered Property is repaired or replaced, that Covered Property is sold in accordance with the terms of the contract of sale, the following provisions apply:

A. The Insurer will:

- (1) Adjust losses with the Insured and, if requested by the insured, the new owner of the Covered Property, as Loss Payee as their interest may appear; and
- (2) Pay any claim for loss or damage jointly to the Insured and the new owner of the Covered Property as Loss Payee, as interest may appear.

2. The following is added to section 36. Other Insurances:

- ##### **A. For Covered Property that is the subject of a contract of sale, the word "Insured" includes the Loss Payee.**

At the discretion of Westminster Management, LLC, coverage for business interruption is extended for a period of up to 60 days beyond the date of closing of an insured property only in the event an insured loss occurs during the purchase and sale agreement period.

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Endorsement #2: Additional Insureds, Loss Payees and Mortgagees

All third parties having an interest in property insured by this Policy, as required by lease, contract, or agreement, shall automatically be Additional Insureds/Loss Payees hereunder.

All other third parties including, but not limited to, Loss Payees and Mortgagees who have an interest in the property insured by this Policy shall be automatically named as Loss Payees or Mortgagees, and loss, if any, under this Policy shall be adjusted with the Insured and payable to the Insured and the Additional Insureds, Loss Payees or Mortgagees according to their respective insurable interests.

1. The Insurer shall pay for loss, damage or destruction of specified property insured under this Policy to each specified Lender Loss Payee (hereinafter referred to as Lender) to the extent of its insurable interest and to each specified Mortgagee to the extent of its insurable interest, under all present or future mortgages upon such property, in order of precedence of the mortgages.
2. The Insurable interest of the Lender or Mortgagee (as the case may be) in property insured under this Policy shall not be invalidated by:
 - (a) any act or neglect of the debtor, mortgagor, or owner (as the case may be) of the property.
 - (b) foreclosure, notice of sale, or similar proceedings with respect to the property.
 - (c) change in the title or ownership of the property.
 - (d) change to a more hazardous occupancy.

The Lender or Mortgagee shall notify the Insurer of any known change in ownership, occupancy, or hazard and, within 10 days of written request by the Insurer, may pay the increased premium associated with the change.

3. If this Policy is cancelled at the request of the Insured or its agent, the coverage for the insurable interest of the Lender or Mortgagee shall terminate 30 days after the Insurer sends to the Lender or Mortgagee written notice of cancellation, unless:
 - (a) sooner terminated by authorization, consent, approval, acceptance, or ratification of the Insured's action by the Lender or Mortgagee, or its agent.
 - (b) this Policy is replaced by the Insured, with a Policy providing coverage for the insurable interest of the Lender or Mortgagee, in which event coverage under this Policy with respect to such interest shall terminate as of the effective date of the replacement Policy, notwithstanding any other provision of this Policy.
4. The Insurer may cancel this Policy and/or the interest of the Lender or Mortgagee under this Policy, by giving the Lender or Mortgagee written notice 90 days prior to the effective date of cancellation, if cancellation is for any reason other than non-payment. If the debtor, mortgagor, or owner has failed to pay any premium due under this Policy, the Insurer may cancel this Policy for non-payment, but shall give the Lender or mortgagee written notice 20 days prior to the effective date of cancellation. The Lender or Mortgagee may pay the premium due. If the

Lender or Mortgagee fails to pay the premium due by the specified cancellation date, all coverage under this Policy shall cease.

5. If the Insurer pays the Lender or Mortgagee for any loss, and denies payment to the debtor, mortgagor or owner, the Insurer shall, to the extent of the payment made to the Lender or Mortgagee be subrogated to the rights of the Lender or Mortgagee under all securities held as collateral to the debt or mortgage. No subrogation shall impair the right of the Lender or Mortgagee to sue or recover the full amount of its claim. At its option, the Insurer may pay to the Lender or Mortgagee the whole principal due on the debt or mortgage plus any accrued interest. In this event, all rights and securities shall be assigned and transferred from the Lender or Mortgagee to the Insurer, and the remaining debt or mortgage shall be paid to the Insurer.
6. If the Insured fails to render proof of loss, the Lender or Mortgagee, upon notice of the Insured's failure to do so, may render proof of loss and shall be subject to the provisions of this Policy relating to appraisal, settlement of claims, and suit against the Insurer.

All other terms and conditions of the policy remain the same.

Endorsement #3: Downzoning

In the event of loss or damage insured under this policy that causes the enforcement of any law, ordinance and/or governmental directive regulating the construction, repair or use of the property, the Insurer shall be liable for:

Loss as described below due to the enforcement of any law, ordinance or other governmental restrictions in effect prior to the insured damage, which limit the insured's ability to rebuild the damaged insured property at the described property location to the density, use size or number of floors in existence immediately prior to such loss or damage. The amount of downsizing shall be the sum of the replacement value of real property which must be demolished or which is damaged or destroyed and which may not be rebuilt and loss of rents for portions of the property which cannot be repaired or replaced due to the operation of the above described ordinances, laws, and regulations subject to the full Program Limit.

All other terms and conditions of the policy remain the same.

Endorsement #4: THIRD PARTY DEDUCTIBLE REQUIREMENTS

1. In cases where the Named Insured is required by a third party to have in effect property insurance subject to a lesser deductible than the applicable deductible as set forth in the Policy, upon the request of Named Insured, the Company will permit the Named Insured's representative, i.e., the Broker that placed this Policy with the Company on behalf of the Named Insured (the "Broker") to issue a Certificate of Insurance ("Certificate") confirming the issuance of the Policy and reflecting the deductible amount required by the written contract if lesser than the Policy Deductible, but in no event shall the deductible shown on the Certificate be lesser than \$25,000.
2. The Named Insured, for itself and all the other parties that are insured under the policy, agrees that the Company's undertaking set forth in Paragraph 1, above, is not an amendment to the Policy and, in no way changes the obligations of the parties to the Policy in any regard, including as respects the Policy Deductible(s). Accordingly, the Named Insured, regardless of the content of any Certificate, for itself and all other parties insured by the Policy, agrees that it will be responsible in the first instance to absorb or to pay (as the case may be) any and all loss amounts falling below the Policy Deductible(s) and will save the Company harmless from ever having to advance to the Named Insured or any person or entity any amounts whatsoever which are below the applicable Policy Deductible(s).
3. Further, in the event the Company is ever required to make any payment(s) to third parties for loss amounts beneath the applicable Policy Deductible(s), the Named Insured, for itself and all other parties insured by the Policy, agrees to forthwith indemnify the Company for such payments and all costs the Company incurs attendant thereto. Repayment of the deductible will be made within thirty (30) days of payment by Company.

All other terms and conditions of the policy remain the same.

Endorsement #5: JOINT OR DISPUTED LOSS AGREEMENT

Joint or Disputed Loss Agreement

- a.** This condition is intended to facilitate payment of insurance proceeds when:
 - (1)** Both an equipment breakdown policy and this Coverage Part are in effect;
 - (2)** Damage occurs to "Covered Property" that is insured by the commercial equipment breakdown policy and this Coverage Part; and
 - (3)** There is disagreement between the insurers as to whether there is coverage or as to the amount of the loss to be paid, if any, by each insurer under its own policies or coverage parts.
- b.** This condition does not apply if:
 - (1)** Both the equipment breakdown insurer and we do not admit to any liability; and
 - (2)** Neither the equipment breakdown insurer nor we contend that coverage applies under the other insurer's Coverage Part.
- c.** The provisions of this condition apply only if all of the following requirements are met:
 - (1)** The equipment breakdown policy carried by the Named Insured, insuring the "Covered Property", contains a similar provision at the time of the loss or damage, with substantially the same requirements, procedures and conditions as contained in this condition; and
 - (2)** The damage to the "Covered Property" was caused by a loss for which:
 - (a)** Both the equipment breakdown insurer and we admit to some liability for payment under the respective policies; or
 - (b)** There is disagreement between the insurers with respect to:
 - (i)** Whether the damage to the "Covered Property" was caused by a "Breakdown" to "Covered Equipment" insured under the equipment breakdown policy or by a covered cause of loss insured by this Coverage Part; or
 - (ii)** The extent of participation of this Coverage Part and of such equipment breakdown policy in a loss that is insured against, partially or wholly, by both this Coverage Part and such commercial equipment breakdown policy.
- d.** If the requirements listed in Paragraph **c.** above are satisfied, the equipment breakdown insurer and we will make payment per the following:
 - (1)** We will pay, after your written request, the entire amount of loss that we have agreed is covered, if any, by this Coverage Part and one-half (1/2) the amount of the loss that is in disagreement.
 - (2)** The commercial equipment breakdown insurer will pay, after your written request, the entire amount of loss that it has agreed is covered, if any, by the equipment breakdown policy and one-half (1/2) the amount of loss that is in disagreement.
 - (3)** Payments by the insurers of the amounts that are in disagreement, as described in Paragraphs **d.(1)** and **d.(2)**, do not alter, waive or surrender any rights of any insurer against any other with regard to the portion of the loss for which each insurer is liable.
 - (4)** The amount in disagreement to be paid by us under this condition will not exceed the amount payable under the equivalent Loss Agreement of the equipment breakdown policy.
 - (5)** The amount to be paid under this condition will not exceed the amount we would have paid had no equipment breakdown policy been in effect at the time of loss. In no event will we pay more than the applicable Limit of Insurance shown in the Declarations or elsewhere in this Coverage Part.
 - (6)** Acceptance by you of sums paid under this condition does not alter, waive or surrender any other rights against us.

e. Arbitration

- (1)** The payments by the equipment breakdown insurer and us hereunder and acceptance of those sums by you signify the agreement between the equipment breakdown insurer and us to proceed with arbitration within 90 days of such payment.
- (2)** The arbitrators will be three in number, one of whom will be appointed by us and one of whom will be appointed by the equipment breakdown insurer and the third appointed by consent of the other two arbitrators.
- (3)** The decision by the arbitrators will be binding on the equipment breakdown insurer and us and that judgment upon such award may be entered in any court of competent jurisdiction.
- (4)** You agree to cooperate in connection with such arbitration but not to intervene therein.

All other terms and conditions of the policy remain the same.

Endorsement #6: QUARTERLY ADJUSTMENTS

While additions to and deletions from the schedule of locations will be reported as they occur, the premium will only be adjusted on a quarterly basis. If applicable, return premiums must be remitted within 45 days from the close of each quarter.

Quarter 1: 12/15/2023 – 3/15/2024

Quarter 2: 3/16/2024 – 6/15/2024

Quarter 3: 6/16/2024 – 9/15/2024

Quarter 4: 9/16/2024 – 12/14/2024

All other terms and conditions of the policy remain the same.